

I was almost 90 percent in cash.

For the whole bear market?

For most of it.

When did you cut back your exposure dramatically?

Around the end of the first quarter of 2000.

That's right at the beginning of the bear market. What prompted that timing?

It was mostly a matter of valuations being very stretched.

When did you get back into the market?

In late 2000. I thought we had a pretty good washout and valuations were more compelling. Then in November 2000, I had my worst month ever. I lost 6 percent, and I went back to mostly cash.

Was it just the large monthly loss that got you back on the sidelines?

I think so. I don't like losing money.

How long did you stay mostly in cash?

Probably till early 2003.

What was the all-clear sign for you?

It was a combination of the compression in valuations and signs that the economy was improving. I was hearing from a number of companies that business was picking up.

What was your experience in the 2008 bear market?

I took my exposure down, but not nearly as much as in 2000. I was approximately 60 to 70 percent cash.

Did you have any emotional response to the market meltdown?

I try to keep emotions in check. Having a lot of emotion about investing doesn't do you any good.

I guess you had pared down to a point of comfort.

I just kept on doing my research and focusing on what I knew worked, which is valuation. Certainly in that time period, I also wanted companies